

picture, this normal procedure could not be expected with certainty. As a practical matter, therefore, it is not possible to say that the 7s are actually worth 74% more than the 5s, but it may be said with assurance that the 7s are worth *substantially more*—which is a very useful conclusion to arrive at when both issues are selling at the same price.

The Interborough issues are an example of a rather special group of situations in which analysis may reach more definite conclusions respecting intrinsic value than in the ordinary case. These situations may involve a liquidation or give rise to technical operations known as “arbitrage” or “hedging.” While, viewed in the abstract, they are probably the most satisfactory field for the analyst’s work, the fact that they are specialized in character and of infrequent occurrence makes them relatively unimportant from the broader standpoint of investment theory and practice.

Principal Obstacles to Success of the Analyst. *a. Inadequate or Incorrect Data.* Needless to say, the analyst cannot be right all the time. Furthermore, a conclusion may be logically right but work out badly in practice. The main obstacles to the success of the analyst’s work are threefold, viz., (1) the inadequacy or incorrectness of the data, (2) the uncertainties of the future, and (3) the irrational behavior of the market. The first of these drawbacks, although serious, is the least important of the three. Deliberate falsification of the data is rare; most of the misrepresentation flows from the use of accounting artifices which it is the function of the capable analyst to detect. Concealment is more common than misstatement. But the extent of such concealment has been greatly reduced as the result of regulations, first of the New York Stock Exchange and later of the S.E.C., requiring more complete disclosure and fuller explanation of accounting practices. Where information on an important point is still withheld, the analyst’s experience and skill should lead him to note this defect and make allowance therefor—if, indeed, he may not elicit the facts by proper inquiry and pressure. In some cases, no doubt, the concealment will elude detection and give rise to an incorrect conclusion.

b. Uncertainties of the Future. Of much greater moment is the element of future change. A conclusion warranted by the facts and by the apparent prospects may be vitiated by new developments. This raises the question of how far it is the function of security analysis to anticipate changed conditions. We shall defer consideration of this point until our discussion of various factors entering into the processes of analysis. It is